2Test Revision

Exercises

Key Question 1: What is economic growth and how do we measure it?

1. What does it mean when a country achieves economic growth?

A country achieves economic growth when there is an increase in the capacity to produce goods and services in their economy over time. This means that there is an increase in output, incomes and expenditure that allows people in the economy to enjoy a higher standard of living. Economic growth is generally attributed to a rise in both aggregate supply and aggregate supply.

2. What is the difference between potential and actual growth?

Actual economic growth is measured by the annual percentage change in a countries real economic output or gross domestic product. This is contrasted with potential growth which is measured by the estimated annual change in a countries potential level of national income.

Key Question 2: What are the benefits and costs of economic growth to an economy?

1. What are some of the benefits and costs to a country when there is increasing
   economic growth?

1. What is likely to be a disadvantage of attaining economic growth?
   1. (a) Fall in unemployment
   2. (b) Fall in standard of living
   3. (c) Depletion of resources
   4. (d) Fall in government tax revenue
2. Which of the following may be caused in the long term due to economic growth?
   1. (a) A rise in structural unemployment

2. (b) A rise in interest rate
3. (c) A high level of inflation
4. (d) A fall in standard of living

3. What might have fueled the high economic growth achieved by Hong Kong?
    1. (a) An increase in interest rates
    2. (b) An increase in exports
    3. (c) An increase in unemployment
    4. (d) An increase in imports

4. Which of the following might not result in economic growth?
    1. (a) Upgrading the skills of workers
    2. (b) Improvement in technology
    3. (c) Investment in capital goods
    4. (d) Increase prices of goods
5. One of the ways to achieve economic growth is by__________________.
    1. (a) Increase in income tax
    2. (b) Increase the range of consumer goods
    3. (c) Increase in the investment in capital goods
    4. (d) Increase in unemployment benefits

Key Question 2: What are the main causes of inflation and deflation?

a. It is possible for the general price level to rise while at the same time, inflation rates
fall.

Generally it is not possible as inflation is defined as the rise in general price level and is entirely based off of the general price level. However in certain circumstances some goods and services in headline inflation such energy and food are extremely volatile. This means that even if the general price level is rising the large price falls from energy and food in this small basket still cause inflation rates to fall. In this circumstance using a more accurate indicator such as core inflation would show that both the general price level and inflation are rising.

b. A consumer price index of 110 for a given year indicates that prices in that year are 10
percent higher than prices in the base year.

Yes it does as the base year has a CPI of 100 and 110 is 100+10 percent to

Scenario

1. A depreciation in the exchange rate pushes up raw material prices and causes inflation.
2. Trade unions manage to get wage increases for their members that are well above the rate of inflation.
3. A boom in the stock market pushes up share prices and this ultimately has the effect of causing inflation.
4. Rising confidence in the economy boosts retail sales and has the effect of causing inflation.
5. The war in Iraq sent oil prices spiralling upwards, resulting in an increase in overall price level.

Demand- Cost-
Pull Push

Key Question 3: Why is inflation or deflation a cause for concern for the economy?

1. If inflation is unanticipated, then:
    1. (a) real interest rates are less than nominal interest rates and lenders gain at the expense

       of borrowers.
    2. (b) real interest rates are greater than nominal interest rates and lenders gain at the

       expense of borrowers.
    3. (c) real interest rates are greater than nominal interest rates and borrowers gain at the

expense of lenders.

4. (d) real interest rates are less than nominal interest rates and borrowers gain at the

   expense of lenders.

2. Inflation **always**:
   (a) reduces both the purchasing power of the dollar and real income.
   (b) reduces the purchasing power of the dollar and increases real income.
   (c) reduces the purchasing power of the dollar but may have no impact on real income.
   (e) increases the purchasing power of the dollar and reduces real income.

3. A possible concern for businesses if deflation occurs is that:
   (a) the value of stocks will rise.
   (b) banks will increase interest rates.
   (c) raw materials will become more expensive.
   (d) consumers may postpone spending decisions.

4. Price increases may lead to higher wage demands as people try to maintain their living
   standards. This is known as the:
   (a) deflationary cycle.
   (b) wage-price spiral.
   (c) hyperinflation problem.
   (d) index-linking approach.

5. Inflation is widely regarded as an important issue for macroeconomic policy makers
   because inflation:
   (a) can cause wider economic costs including slower growth.
   (b) allows producers to make higher profits each year.
   (c) increases the return on business investments.
   (d) allow savers to improve their standard of living.

9. a. Why is inflation a cause for concern for the economy?

b. Is inflation necessarily "bad"?